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GERMANY

Germany's reform train is picking up steam

Proposals to reform the German pension system are clearly a good step in the right direction. It's now up to the government to show its own reform élan and implement the plans as quickly as possible



Fans flood into Fröttmaning for a World Cup match - a surge not unlike the demographic wave facing Germany's pension system

Germany can still win its opening World Cup matches and, it seems, still deliver reform. That's the main takeaway from the weekend. For the first time since 2006, the national team started the tournament with two wins, keeping faint hopes of a title and a broader turnaround alive. Now, economic reforms may be following suit.

Officially, the so-called pension commission, a 13-member task force appointed by the governing coalition, will present its proposals on Tuesday. News reports on Saturday detailed 33 proposals to reform Germany's pension system. The government now has to adopt and implement these proposals. Parliament will also have a say.

Earlier, some government members suggested that a full reform package, including healthcare and tax reforms, would be presented before the parliamentary summer break next Tuesday. We remain sceptical that the government can deliver such broad measures in that timeframe. The proposals unveiled so far risk being too little, and potentially too late. Still, there are clear

signs that reform is gaining momentum.

Last year's reform was a patch, not a fix

To understand the scale of today's pension reform push, you have to rewind to December – when the governing coalition nearly came apart over what some members saw as the first, tentative push for change. Others saw it as little more than a costly extension of the status quo. Ultimately, the government agreed to keep the statutory pension level locked at 48% of average wages through 2031, rather than allowing it to drift down toward 45% under the previous formula. This means workers who contributed to the statutory system for 45 years and retire by 2031 will receive 48% of the average German wage as a state pension. Without this decision, the level could have fallen to 44.9% by 2040.

That guarantee, however, does not come for free. Nothing involving 21 million pensioners and a shrinking workforce ever does. The contribution rate is set to rise from 18.6% to 18.8% from 2027. The package also introduced a few quieter measures on 1 January: an expanded "mother's pension" crediting childcare years more generously; a relaxation of the rules preventing pensioners from returning to their old employer; and the so-called Aktivrente, a tax break for people who work past the statutory retirement age of 67. Last year's reform amounted to little more than a pretence that the status quo could be extended forever.

Why a fix is needed

Meanwhile, pressure on the pension system continues to build like an avalanche. Germany's old-age dependency ratio – people 65 and over relative to the working-age population – is set to rise from 34% in 2024 to 51% by 2050. Put differently, in 1992, there were 2.7 working-age people funding the pension of one retiree. In 2022, that fell to 2.0. By 2030, it will be just 1.5. That's not a gentle slope. It's a steep change, arriving now because the baby boomers are retiring en masse this decade. The Federal Statistical Office's own December 2025 projections put a fine point on it: one in four Germans will be 67 or older by 2035, up from one in five in 2024. And the number of people of pensionable age will keep climbing every year through 2038, adding 3.8 to 4.5 million to the system.

Without any changes, the pressure on public finances will become almost unbearable. As a young civil servant, I helped to put the sustainability of public finances in ageing societies on the agenda of European Council meetings. This was some 25 years ago. What sounded like fiction to some back then has become a hard reality. Already, the German government is spending more than two-thirds of its annual budget on health care and the pension system. Last year's decision was a patch. The system is in urgent need of a fix.

The proposals

This is why the government set up an independent task force with a mandate to analyse the

system from the ground up. It will deliver recommendations covering not just the statutory pillar but also occupational and private pensions. As mentioned, the commission put forward 33 recommendations, supported by a broad, though not unanimous, consensus.

The headline change: the retirement age will be linked to life expectancy from 2032 onwards. The idea is a "two-to-one" rule, meaning that for every additional year of life expectancy, people work eight months longer and draw a pension for four more months. Run that through current demographic projections, and it results in a retirement age of 67.5 by 2041 and 68 by 2051. It means roughly half a year added per decade. It will be reviewed periodically rather than locked in.

Early retirement without deductions after 45 years of contributions would be abolished under the proposal. That benefit has been politically untouchable for the SPD in the past. It remains to be seen how this proposal will be received by the broader SPD, beyond the government members.

These initial proposals are clearly aimed at extending the working life, while other measures seek to broaden the contributor base. Members of parliament and freelancers would be integrated into the statutory state pension system. The commission didn't (dare to) tackle the question of how to deal with civil servants, beyond suggesting a reduction in their numbers. It also proposes limiting the so-called €600 jobs – currently exempt from social contributions – to students. These are important sources of employment in the retail sector. To be clear, these jobs won't disappear overnight, but they will become more expensive for employers.

One genuinely new idea is a mandatory, funded capital pillar explicitly modelled on Sweden's premium pension. A slice of contributions, phased in from 0.5% of gross wages to 2% and split evenly between employer and employee, would be invested in capital markets through a state-run fund and paid out individually. The aim is to use market returns to modestly raise the pension level above where the current pay-as-you-go formula alone would take it.

It's a first fix, but regaining competitiveness needs more

All in all, the reform proposals include important elements. Case in point: linking the retirement age to life expectancy and establishing a new market-based pillar, even if the commission could've been bolder and more ambitious. The positive take is that the reform train is picking up speed. Still, this is no high-speed train, but rather a fragile old model.

Amid all the enthusiasm, let's not forget that these changes are a bare necessity to contain pressure on public finances. They will not, by themselves, make the German economy more competitive. For that, the government will have to do more.

To return to the World Cup analogy: winning two matches and reaching the next round should be the bare minimum for Germany's national team. Bringing trophies home will require more

than that.

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What the US-Iran Memorandum of Understanding means for macro and markets

The US and Iran have signed a preliminary MoU outlining a ceasefire, some economic concessions and the reopening of the Strait of Hormuz, triggering market relief but marking only the start of negotiations rather than a final deal



US President Donald Trump and Iranian President Masoud Pezeshkian have signed a peace deal

Now it's official. Last night, US President Donald Trump signed the Memorandum of Understanding (MoU) between the US and Iran in Versailles. According to news reports, Iranian President Masoud Pezeshkian also signed the document on Wednesday.

The MoU between the US and Iran outlines the terms of their ceasefire, the reopening of the Strait of Hormuz, some financial relief for Iran, and Tehran's renewed pledge to never produce a nuclear weapon. Under the draft agreement, the US will allow Iran to sell its oil and petrochemical products, and Tehran may be able to tap into a US\$300bn development fund if it meets commitments related to its nuclear programme in further negotiations. The document does not include specifics on what will become of Iran's highly enriched uranium. With the signing of the MoU, a 60-day (though extendable) negotiation period starts, in order to flesh out further details.

The relief in financial markets after the initial Sunday evening announcement was palpable – relief that a three-and-a-half-month war could be nearing its end. We will leave it to the real geopolitical analysts to decide whether the world has become a better place under the new deal compared with the situation in February. For now, it appears the MoU may have softened some of the red lines set by the US in the early stages of the conflict. What is clear, however, is the fact that the MoU is not yet a deal but rather the start of negotiations and the agreement to open the Strait of Hormuz during these negotiations. Whether these negotiations will eventually succeed is a different matter.

On a different note, and at least for a short while, recent developments have brought the US and the rest of the G7 closer together. This week's G7 meeting must have been one of the more harmonious meetings in recent times. But before getting overly enthusiastic about a new spring of multilateral relations, that harmony may simply reflect pragmatism: the US government needs some backing from Europe for the negotiations with Iran, and Europeans need some US backing for potential negotiations with Russia.

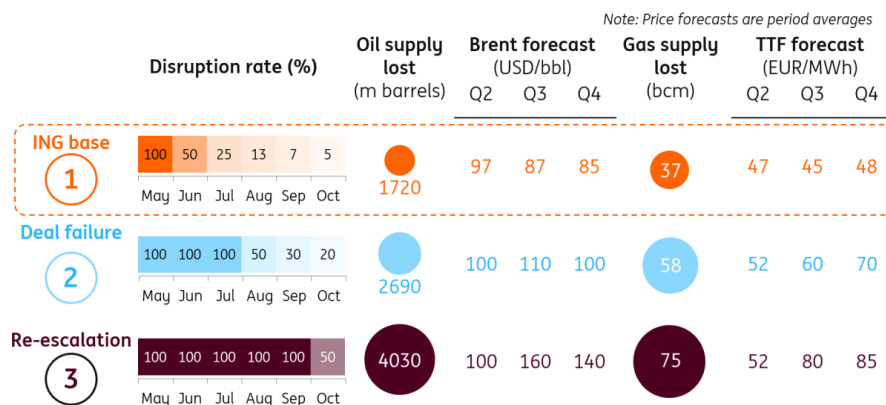
So, the relief in financial markets should not be mistaken for a complete dissolution of geopolitical risks but rather as a reaction to the reopening of the Strait of Hormuz. Oil prices have dropped already, taking away some recent inflation fears. In our view, however, markets may be slightly [too optimistic regarding the speed of the reopening](#). Mines will have to be discovered and removed, insurance premiums will have to be determined and vessels will actually have to be loaded and start passing through the Strait again. This will be a very gradual process. It should take several months before traffic in the Strait will be back to pre-war levels.

With relief in oil markets, the recent wave of inflation will not stop abruptly, but it will be shorter-lived than assumed just a few weeks ago. For central banks, it could bring back the infamous word 'transitory', giving central bankers even more of a headache in terms of whether to hike interest rates or not.

Even though we [released our last Monthly Update](#) a week ago, the latest developments clearly call for an update of our forecasts. This is why we have developed new oil price scenarios based on those updated macro and market forecasts. The bottom line is that inflationary pressures will be slightly shorter-lived, the adverse impact of higher energy prices on growth will be more limited and central bankers will be more reluctant to hike aggressively, or to hike at all. Except, perhaps, for the European Central Bank, which has pushed itself into a corner, making it harder to wriggle out of a second rate hike. Some ECB officials might already regret the timing of the ECB's meeting calendar....

If the MoU really is the start of successful negotiations, we could eventually return to a macro world that we had actually expected at the start of this year: a gradually recovering global economy with risks of inflation undershooting and central bank rate cuts. An almost beautifully boring economic outlook, or is that wishful thinking?

Our new energy scenarios



Source: ING

Our new oil price scenarios

Base case: This is it – we have a deal!

A 60-day ceasefire is signed and both sides work towards a more permanent deal. This is difficult to reach given the sticking points. However, the US and Iran manage to agree a longer-term deal, even if it doesn't fully address all the issues. As a result, blockades are lifted, allowing tankers to leave the Persian Gulf, although it will take time to remove mines from the water. The signing of the deal, however, gives shippers confidence to send vessels into the Persian Gulf, allowing for a quick recovery in flows through the Strait of Hormuz.

A willingness for shippers to return to the Persian Gulf allows upstream production to return at a quicker pace. An easing in some Iranian sanctions means that Iranian exports bounce back, with exports eventually above pre-war levels.

Scenario 2: 60-day negotiations get stuck

This scenario is essentially aligned with our previous base case. After the signing of the MoU, the negotiations get stuck, and we see some minor re-escalation as a result. Energy flows remain heavily constrained until the end of July. The market reaches an inflection point around this period, where prices spike higher due to increasingly tight stocks. These higher prices lead to renewed efforts to come to a deal which sees Strait of Hormuz oil flows resuming.

Scenario 3: Re-escalation

The 60-day negotiations break off at some point, followed by significant re-escalation between the US and Iran. Strait of Hormuz flows remain heavily constrained due to attacks/strikes resurfacing. Iranian proxies get more involved. The Houthis disrupt Saudi Red Sea oil exports while the UAE's Fujairah is targeted, along with regional energy infrastructure.

Essentially, this heavily disrupts flows until at least year-end, with peak disruption over 3Q, a seasonally stronger period of demand. Prices need to spike higher to ensure adequate demand destruction to rebalance the oil market.

Our calls for central banks

Federal Reserve: Despite a more hawkish Fed, we continue to think a prolonged pause is more likely than a rate hike. Our base case has inflation coming down to 3.6% in the fourth quarter and close to the 2% target by next summer. That's on account of subdued wages, falling energy prices, fading tariff impacts and slowing housing inflation.

European Central Bank: After last week's decision, we still expect a second rate hike this summer, even with the fall in energy prices. Yet inflation is now set to peak lower and is likely to fall towards 3% in 4Q in our base case. Once it becomes clearer that there's minimal sign of second-round effects, and in the absence of a pick-up in growth, we look for a single rate cut in mid-2027 to unwind some of the "insurance" provided by this summer's tightening.

Bank of England: The Iran deal has made the BoE's life easier and a prolonged pause now looks likely. Inflation is set to peak around 3.5% and officials, on balance, seem to be more confident that second-round effects will be minimal. We agree and see a return to rate cuts in 2027.

Our new scenarios

	18 June	① ING Base				② Deal failure				③ Re-escalation			
		Q2	Q3	Q4	Q4 2027	Q2	Q3	Q4	Q4 2027	Q2	Q3	Q4	Q4 2027
Brent Crude (USD/bbl)	78	97	87	85	72	100	110	100	77	100	160	140	90
Dutch TTF gas (EUR/MWh)	41	47	45	48	32	52	60	70	43	52	80	85	55
US Inflation (YoY%)	4.2%	3.9	3.5	3.6	2.2	3.9	4.4	4.3	1.6	4.1	6.0	6.8	0.4
Eurozone Inflation (YoY%)	3.2%	3.2	3.3	3.0	1.9	3.2	3.9	3.8	1.8	3.3	5.8	5.9	1.8
ECB Deposit Rate (%)	2.25	2.25	2.50	2.50	2.25	2.25	2.50	2.50	2.25	2.25	2.50	2.75	2.50
Fed Funds Rate (%)	3.75	3.75	3.75	3.75	3.25	3.75	3.75	3.75	3.25	3.75	4.00	4.50	2.50
2Y EUR swap rate (%)	2.82	2.80	2.80	2.70	2.55	2.90	2.90	2.75	2.55	3.00	3.10	3.20	2.30
10Y EUR swap rate (%)	2.99	3.00	3.00	2.95	3.05	3.15	3.15	3.10	3.05	3.20	3.25	3.30	2.80
2Y USD swap rate (%)	4.05	3.90	3.90	3.85	3.25	4.00	3.95	3.85	3.25	4.20	4.25	4.30	2.50
10Y USD swap rate (%)	4.05	4.00	4.00	3.95	3.95	4.10	4.10	4.10	3.95	4.15	4.20	4.25	3.50
EUR/USD	1.1470	1.15	1.17	1.18	1.22	1.14	1.15	1.15	1.20	1.12	1.07	1.09	1.18

Source: ING

Rates: Balance of risks tilted towards higher rates in the near term

Well before this deal, US breakeven inflation rates had been falling. They are now back to where they were before the war started, which is quite remarkable (US 10yr breakeven at under 2.3%; a perfect score). US real yields are structurally higher by some 40bp since before the war, which, again, is quite remarkable. We doubt they collapse lower, which is why the 10yr yield will remain elevated. The 10yr yield is holding in the 4.45% area, where it has tended to hover in recent weeks. The 10yr real yield is just above 2%, which is broadly a neutral valuation, one that we saw before the GFC / pandemic-impacted years. Barring a recession, it can hold here.

In the eurozone, the 10yr rate (take your pick of the German 10yr or Euribor) has dipped decisively below 3% as the agreement has crystallised. The big driver here is the fall in breakeven inflation, which is now down to 2% in the 10yr. It was previously at 2.4%. The juxtaposition here is between this and printed inflation in the 3% area (and still on the rise). Our gut feeling is that the 3% area is a logical staging post for the 10yr Euribor rate, while for the 10yr Bund yield, it's a range between 2.75% and 3% for the foreseeable.

Oil continues to be an important driver for rates, which means we can still expect more volatility going forward. Having said that, markets have turned more hawkish on central bank expectations, which limits the downside if oil were to drift lower. For the ECB, we identify support of at least one more 25bp hike which markets seem reluctant to break. Markets are taking the view that the damage has been done in terms of inflation and the ECB does not seem to give any pushback to this notion.

In effect, that means EUR 2Y rates will likely stay around current levels for longer or move higher if oil were to tick up again. Only later this year, when we get confirmation of benign second-round inflation effects, do we see more scope for 2Y rates to come down.

In a re-escalation scenario, we continue to see significant upside risk for rates in the near term, but the endgame should bring rates lower. A surge in oil prices and geopolitical uncertainty would weigh on growth, forcing both the ECB and Fed into a more extended easing cycle. Therefore, once the initial inflation shock eases around mid 2027, we see rates coming down sharply across the curve on the back of recession risks.

FX: Softer energy profile should limit euro downside

Our adjustment lower in baseline energy prices means we are modestly raising our EUR/USD profile. We now see it ending the year near 1.18. Of course, that runs against the current dominant narrative in FX markets, which is a more hawkish Fed. Our preferred scenario now sees EUR/USD pressured over the next couple of months near 1.14/15, but turning higher into year-end on our call that US data will not support Fed rate hikes.

Currently, we are not looking for a sustained break below 1.14/15 because we doubt the market will price in more than 50bp of Fed tightening during what, after all, should be an adjustment in policy settings and not an outright tightening cycle.

The alternative scenarios, with higher energy prices, remain more bearish for EUR/USD. Those lower levels look even more likely in an energy shock, now that we know the Fed is closer to tightening policy.

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THINK economic and financial analysis

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Article | 18 June 2026

FX CHINA INDIA

What the US-Iran peace deal means for Asia

The peace deal and partial resumption of oil flows reduce near-term inflation risks, giving some central banks (notably Taiwan and India) room to delay tightening. However, a broad pivot remains premature, as still-elevated oil prices, rising food price risks, and second round effects keep the policy stance asymmetric and biased towards caution



Supply relief and sentiment boost

The US-Iran peace deal should come as a significant relief for Asia, given its heavy reliance on imported energy and vulnerability to disruptions in Middle East shipping routes. As details firm up, [our base case](#) assumes around 50% of oil flows through the Strait of Hormuz resume by end-June, with full reopening only by end-2026. Even a partial restoration of flows should meaningfully ease tightness in physical markets and reduce precautionary inventory hoarding. This, in turn, is likely to support a rebound in consumer and business sentiment, particularly in countries where recent supply uncertainties had begun to weigh on confidence and activity.

Disinflation across Asia, with South-East Asia likely to lead the way

Lower oil prices will also be crucial in easing inflation pressures across Asia, particularly

through food and fuel channels. The Philippines has seen the sharpest rise in the contribution of food and fuel to inflation and should therefore be among the biggest beneficiaries of any sustained decline in oil prices. Meanwhile, economies with high import intensity, such as India and Thailand, are also likely to see meaningful relief as lower energy costs feed through into transport, food distribution and broader price dynamics.

Relief coming, but normalisation will lag as input costs are still elevated

Sectors such as petrochemicals, steel and rubber have borne the brunt of this margin compression, driven by elevated oil prices alongside higher freight and feedstock costs. A de-escalation in US–Iran tensions should bring some relief, particularly via lower energy and naphtha prices, helping to stabilise cost structures. However, the recovery will not be immediate. Supply chains – especially in fertilisers and other commodities, are likely to normalise only gradually, as shipment backlogs and logistical bottlenecks take time to unwind, even as traffic through the Strait of Hormuz improves.

While large economies such as India, China, Korea and Japan were partly insulated from global oil price spikes via subsidies and administrative controls, supply disruptions still pushed up input costs across manufacturing supply chains. Industries faced higher freight charges, longer delivery times and rising feedstock costs during the peak of tensions. Although input cost pressures have eased from their March–April highs, they remain above pre-conflict levels. With output prices adjusting more slowly due to weak pricing power and incomplete pass-through, corporate margins – especially in energy-intensive sectors – continue to face sustained pressure.

Rate pivot still premature, though some central banks can delay hikes

Despite the peace deal, it remains premature to call a turning point in Asia's rate hike cycle. Central banks across the region operate with different policy reaction functions: [the Philippines](#), for instance, focuses heavily on CPI inflation, as seen in its recent policy responses, while [Bank Indonesia](#) places greater emphasis on currency stability as its primary objective.

Even with some easing in energy-driven inflation, policymakers are likely to remain cautious.

First, oil flows are expected to resume only gradually, and the need to rebuild depleted stockpiles could keep upward pressure on demand, leaving uncertainty around the durability of any price correction. We expect Brent to average around USD 87/bbl in 3Q, still roughly 30% above pre-war levels. This could give some room for governments such as the Philippines, which did not heavily subsidise fuel, to roll back part of the earlier hikes. Gasoline prices in the Philippines have risen by around 40% since the start of the conflict; a 10% rollback could lower

CPI by about 50bp, bringing our 3Q inflation forecast to 6.5% – still well above the 4% upper target. As such, a more sustained and deeper decline in oil prices would be needed for the Bangko Sentral ng Pilipinas to reconsider the 75bp of additional rate hikes we have pencilled in for the rest of 2026.

Second, food prices remain vulnerable to weather-related shocks, particularly the rising probability of a strong El Niño—which could keep overall inflation volatile. Food-driven price pressures have already been broad-based: in the Philippines, the contribution of food to inflation has more than doubled, rising to 2.2pp in May 2026 from around 0.6pp earlier in the year.

India, Indonesia, and Thailand have also seen an uptick in food contributions to headline inflation, albeit more modestly at around 0.3–0.45pp. That said, still-moderate inflation levels in these economies and emerging downside risks to growth should give central banks some room to remain patient. For now, a wait-and-watch approach is likely, with policymakers closely monitoring how weather-related disruptions feed through to food and core inflation dynamics.

Improved growth prospects firm up the case for rate hikes in Korea and Japan

Despite heavy reliance on Middle Eastern energy, South Korea and Japan have so far limited the impact on growth and inflation through price caps, subsidies, fiscal support, and energy import diversification from non-Middle East countries. With the latest energy scenario, we see more upside risks for growth and a more limited impact on inflation.

Korea has temporarily restricted exports of petroleum products such as naphtha to secure domestic supply, while Japan released its strategic oil reserves to mitigate the shortage of energy supplies. A peace deal would boost 3Q26 growth slightly more than expected. Improving energy supply should support growth by easing pressure on key industries and lifting confidence. For example, it should allow Korea's petrochemical output and exports to rebound and Japan's auto exports to the Middle East to recover. Restocking energy and critical materials by companies and governments should lift imports as well. More broadly, the AI boom should continue to support both economies, with Korea and Japan benefiting from strong chip exports and potential longer-term gains from post-war reconstruction, renewable-energy investment, and higher defence spending.

Meanwhile, the impact on inflation from the peace deal is likely to be limited given that inflation in both countries (3.1% year-on-year in Korea and 1.4% YoY in Japan) has been suppressed by policy measures. These temporary anti-inflation measures will be lifted once global energy prices come down. Thus, the decline of energy prices in coming months is unlikely to be significant. Meanwhile, demand-side pressures are expected to strengthen on the back of strong asset-market rallies, rising labour income, and weak currencies. We expect

CPI to accelerate in the coming quarter, above 3.5% in Korea and 1.9% in Japan.

As stronger growth is likely to feed into inflation, we see an increasing probability that both central banks may accelerate their hiking cycles, moving faster and ultimately further than previously expected. The Bank of Korea may need an additional hike beyond our current 75bp base case, likely in 2027. For the Bank of Japan, its next move could come earlier in October rather than December if the yen weakness and firm underlying inflation persists.

Rate hikes in Taiwan could be delayed if peace deal holds

In Taiwan, we previously made upgrades to our GDP forecast despite the potential for an oil supply shock. Our 10.5% YoY 2026 GDP forecast is already among the highest in the market, and we will maintain this forecast for now. A peace deal removes some of the potential downside risk for growth. Given Taiwan's heavy energy import dependence and limited oil reserves, falling oil prices will have a bigger impact on inflation compared to our previous scenario. We revise down our CPI inflation forecast from 2.1% to 1.9% YoY. The previous scenario of oil prices peaking in 3Q prompted our call for the central bank to hike in 3Q26. We still have this rate hike pencilled in for now after a June hold from the central bank, with a few members already dissenting in favour of a rate hike and Governor Yang commenting that monetary policy should be "slightly hawkish". However, if we do get a lasting peace deal leading to lower energy prices and inflation proves to be under control, the rate hike could well be delayed again, potentially to as far as 2027.

Shifting oil price dynamics may also give India's central bank some room to delay or reconsider further tightening. Nevertheless, we continue to expect Korea and Japan to deliver anticipated rate hikes, with a rising probability of more and sooner. And a pivot away from rate hikes remains unlikely in the Philippines unless food inflation and FX pressures reverse materially. All things considered, monetary policy in Asia is still set to remain tighter for longer than markets anticipate.

Asian currencies stabilising but will need more for a turn

A third factor keeping Asian central banks hawkish is the performance of FX. Indonesia's rupiah, the Indian rupee and the Thai baht have fallen the most against the US dollar this year. These currencies will likely need more than just a softer dollar to stage a sustained recovery, especially in an environment where US inflation remains sticky and the Federal Reserve's recent hawkish pivot limits downside for the dollar.

For a more durable turnaround, stronger local drivers will be crucial. The Indian rupee and Thai baht have been hit by their high exposure to energy imports, with weaker external balances driving much of the depreciation. For this to reverse, a sustained improvement in the terms of trade – via lower oil prices – alongside a rebuilding of capital account positions will be key. Until then, FX vulnerability is likely to remain a constraint on how quickly regional central banks can

pivot away from tightening.

We see relatively more support for the Indian rupee, which still has policy levers at its disposal. Recent capital measures announced by the Reserve Bank of India should help plug the balance of payments gap, leaving us relatively constructive on INR. In contrast, investor concerns around Indonesia's recent policy direction may continue to weigh on sentiment, suggesting IDR could lag its regional peers.

In North Asia, both the KRW and JPY have weakened significantly, though easing geopolitical tensions and a narrower Fed-BoK/BoJ rate gap should provide some relief. For the KRW, USD/KRW is likely to remain above 1,500 in the near term despite Korea's exceptionally large trade surplus, as capital outflows remain sizeable. For the JPY, global dollar moves linked to Fed rate expectations should remain the dominant driver, while the BoJ's gradual hiking pace is unlikely to provide meaningful near-term support. As a result, USD/JPY is likely to stay near 160 for the foreseeable future.

The TWD has been tightly managed and range-bound during the Iran war. Given the backlash after last year's sudden spike, greater care may be taken to smooth out volatility in the TWD, which complicates forecasting. In a vacuum, a successful peace deal should contribute towards a stronger TWD.

CNY outperformance could fade if peace deal holds

Given China's general stability, we are not making substantive changes to the GDP growth forecast of 4.7% because of the peace deal, though the deal does improve the outlook at the margin, and avoids a potential downgrade that may have been necessary in the event of a prolonged supply shock.

Lower oil prices will take some momentum out of the recent reflation momentum. We slightly trim our CPI inflation target from 1.3% to 1.2% YoY. There is also a possible implication on policy support. While the Iran war did not necessarily preclude another rate cut, rising inflation and global central bank tightening may have complicated the equation.

A peace deal and lower oil prices should remove this uncertainty and allow for the People's Bank of China to ease in the second half of the year. Given the marked slowdown of domestic activity data in the second quarter, pressure could pick up to support growth.

The Chinese yuan has been the top performer against the US dollar during the Iran war. While we see it continuing to appreciate against the dollar, its relative outperformance is likely to fade if the peace deal holds, and the CNY trade-weighted basket could decline moving forward as other currencies recover.

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FX TRADE CHINA

Still king – why the petrodollar isn't going anywhere soon

Recent tensions in the Middle East have revived debate about whether the petrodollar system is starting to fragment. Our answer is a cautious one. Some diversification in oil trade settlement is plausible, but the bigger question is where Gulf oil savings are ultimately invested. On both fronts, change looks gradual rather than transformative



Calling an “end of the petrodollar” would be a bold claim, with any shifts in the story likely to be slow-moving

Recent tensions in the Middle East have brought the petrodollar debate back into focus. The immediate market question is whether disruptions to energy trade could accelerate the use of non-dollar currencies in energy-related transactions. That matters because any such shift would add to the broader debate about the global role of the dollar.

Still, declaring “the end of the petrodollar” would be a strong call. As with other [de-dollarisation](#) themes we’ve covered, the reality seems to be less dramatic than the media headlines. We support the approach of looking separately at trade invoicing and asset allocation. On the trade side, China’s growing importance as a buyer of Gulf energy, the gradual build-out of renminbi payment infrastructure, and renewed interest in alternative payment channels are all relevant. But the international role of the dollar also depends on where the savings of major energy exporters are ultimately allocated.

That is the key question we address in this article; the broad conclusion is that some petro-

settlement and investment activity may become marginally more diversified, but the core of the petrodollar system still looks much harder to dislodge.

Executive summary

- **Shift in oil settlement: evidence inconclusive.** March 2026 saw a pick-up in renminbi settlement activity via China's Cross-Border Interbank Payment System (CIPS), coinciding with the outbreak of the Iran war, but volumes moved closer to normal in April and May. SWIFT trade finance data also shows only a modest March spike after an earlier upward trend in 2022–2024. **China's growing role in the Gulf is a watch factor**, with its share in GCC exports and imports nearly doubling over the past decade to about 21%, alongside a build-up in non-dollar settlement infrastructure through the UAE-China swap agreement, mBridge cooperation and the UAE central bank's memorandum of understanding with CIPS.
- **The Gulf keeps accumulating oil savings, putting SWF allocation in focus.** Excluding Saudi Arabia, the GCC is projected to run combined current account surpluses of roughly \$150bn per year over the next five years, implying \$0.8tr in cumulative external savings through 2030. Gulf sovereign wealth funds hold around \$6tr in assets, with the UAE estimated at about \$2.7tr, leaving the key question of where these pools of oil wealth are ultimately invested. **GCC is USD-heavy by global standards**, with 69% of BIS-tracked international assets in US dollars versus 46% globally. This does not capture sovereign wealth funds directly, but it does suggest that Gulf external finance is more dollar-heavy than the global norm.
- **What might Gulf de-dollarisation look like?** From the invoicing angle, China's share in GCC trade points to an upper bound of about \$300bn in annual flows that could be yuan-settled in an extreme case. From the asset side, any de-dollarisation would more likely show up through slower new inflows rather than reallocation of the existing stock. Even a reduction in new USD allocations below roughly \$100bn per year would already represent a move in that direction.
- **GCC in the global context: central but not exclusive.** The Middle East accounts for around one-quarter of global fuel exports, while fuel trade makes up only 10–12% of global merchandise exports, limiting the impact on global de-dollarisation. **Broader de-dollarisation remains slow**, suggesting scope for gradual diversification rather than a decisive break with the dollar. [The euro](#) or RMB could use their strengths to create marginal competition with the dollar, but the dollar system still looks far more resilient than the louder de-dollarisation narratives imply.
- **Market implications:** Dollar dominance in GCC energy invoicing contributes to

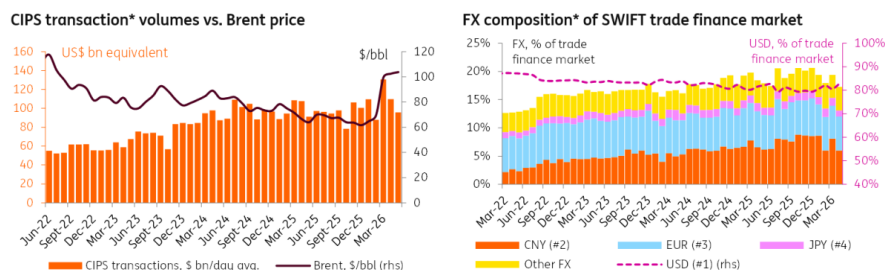
network benefits, while dollar funding markets proved resilient during the peak of the crisis in March.

Shift in oil settlement: evidence inconclusive

The new war in the Middle East has revived interest in whether the search for non-dollar energy invoicing could gain pace. Yet publicly available data remains limited, and the available evidence is mixed. The pick-up in renminbi settlement activity in March via CIPS has been cited by some observers, including [the European Central Bank](#), as an indirect sign of a shift in energy invoicing.

So far, however, the evidence remains inconclusive. After a spike in March, CIPS volumes returned closer to normal in April and May, despite the ongoing tensions in the region. SWIFT trade-finance data tells a similarly cautious story: renminbi usage had already been trending higher in 2022-2024, but the increase in March 2026 was relatively modest and was followed by some retrenchment in April.

The spike in CNY transactions in March appears to be a one-off so far



Source: ECB, CIPS, SWIFT, ING; * adjusted for FX revaluation effects

China's growing role for the Gulf is a watch factor

It is important to understand where the expectation of a growing renminbi role in Gulf fuel trade is coming from. Unlike Russia or Iran, GCC countries are not operating in a sanctions environment and remain broadly free to choose their settlement currency mix. The case for greater renminbi usage would therefore be mainly commercial.

The commercial logic starts with trade geography. China's share in GCC exports and imports has nearly doubled over the past decade to around 21%.

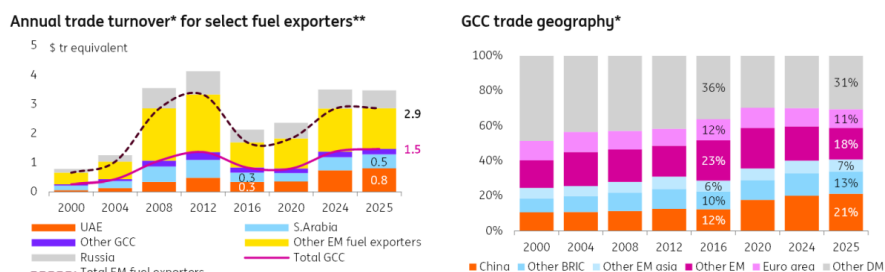
China's share in GCC exports and imports has nearly doubled

over the past decade to around 21%

Just as importantly, Gulf trade has become more tilted towards emerging markets, which now account for around 60% of the GCC's external trade mix – the reverse of the picture 25 years ago.

This matters for the global energy story because the GCC itself accounts for 51% of the total external trade turnover of all EM fuel exporters in the IMF's definition, which excludes Russia (as a more diversified commodity producer). It is also notable that within the GCC, the UAE has overtaken Saudi Arabia in terms of total external trade volumes in the last 10 years.

China's share in GCC trade flows nearly doubled in the last 10 years to 21%



Source: IMF, ING; * Sum of exports and imports, share of China includes Hong-Kong and Macao; ** Russia in not part of IMF EM Fuel Exporters aggregate

From the global trade and multipolar perspective, some energy transactions may gradually become less exclusively dollar-based as China deepens its trade links with major exporters and as alternative payment infrastructure develops. The [UAE-China swap agreement](#), [mBridge](#) cooperation and the UAE central bank's [MoU with CIPS](#) all point to a slow build-out of the relevant infrastructure.

As for China's RMB internationalisation, the process has seen ebbs and flows over the past two decades, but is gradually moving along, with increasing RMB trade settlement and payment shares over the years. As China's trade clout grows and it becomes the largest trading partner for more countries, a natural consequence has been a shift towards RMB-denominated settlement.

An important new development which emerged during the Iran war was when Iran requested payments to be made in Bitcoin or CNY. This is a sign that countries are considering CNY as an alternative to the traditional dollar system, an option which can help avoid US sanctions. Geopolitical developments have and could continue to play a role in the RMB's adoption globally.

Policymakers have been prioritising financial stability over speed of internationalisation, and

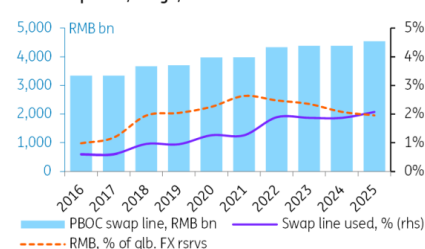
this is unlikely to change, even with a perceived window of opportunity from de-dollarisation trends. A lack of full capital convertibility continues to weigh on RMB internationalisation, while there appears to be relatively limited appetite for the RMB as a reserve currency.

Nonetheless, efforts continue to be made in this direction, as President Xi Jinping has stated that China must have a “powerful currency”. The People's Bank of China just announced a new repo facility to be made available to foreign central banks, international financial institutions, and sovereign wealth funds, accepting RMB-denominated collateral such as Chinese government bonds, central bank bills, and policy bank bonds. This would allow for foreign institutions to tap into the current low interest rates in China, and could encourage further RMB usage.

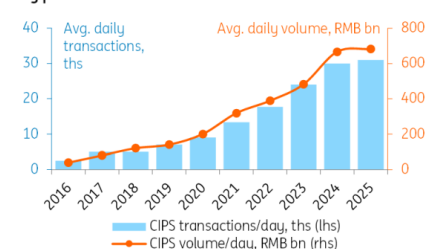
China currently has 32 currency swap lines set up, worth up to RMB4.5tr, and these swap lines have increasingly shifted from symbolic agreements to actively used liquidity tools. By the end of 2025, the outstanding balance of RMB drawn by overseas central banks stood at RMB94.2bn.

China continues building infrastructure for RMB internationalisation

PBOC swap lines, usage, and RMB's reserve role*



Key parameters of CIPS transactions



Source: PBOC, ECB, IMF, ING; * Pre-2025 shares of RMB in global FX reserves adjusted for FX revaluation

Overall, higher Gulf exposure to China is not a death sentence for the dollar as a petro-currency. The rising role of China in global trade does not automatically translate into a comparable rise in the role of the renminbi. And if Gulf economies continue to invest heavily in domestic fuel, logistics and defence infrastructure, imports are still likely to remain diversified across both developed and emerging market partners.

On the subject of swap lines, much was made earlier this year of the UAE's request for a standing dollar swap line to join the elite club of the eurozone, Japan, the UK, Switzerland and Canada. This story has gone quiet over recent months, but one can only conclude that the UAE still sees itself very much part of the dollar universe – anchored, of course, by the USD/AED peg.

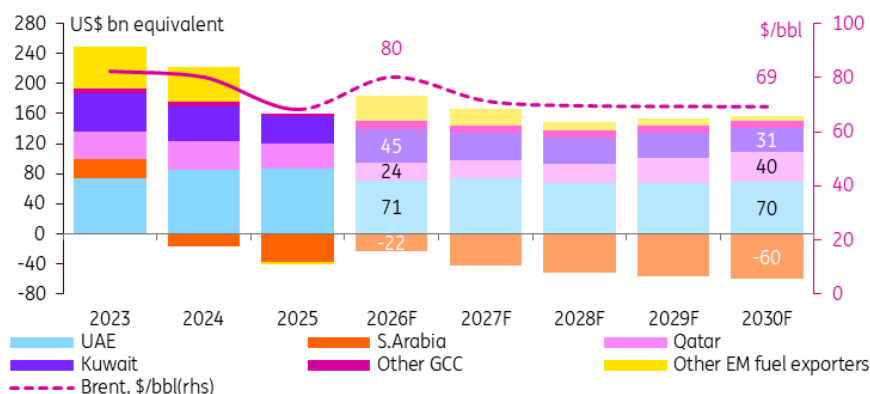
The Gulf keeps accumulating oil savings...

The more important question for the dollar story is not just how Gulf exports and imports are invoiced, but whether the region still generates external surpluses large enough to matter for global capital markets. Some have argued that rising domestic expenditure and imports mean the GCC no longer produces large enough current account surpluses to remain relevant as a capital exporter.

IMF projections imply a cumulative current account surplus of around \$0.8tr through 2030 that will need to be allocated by the GCC ex. Saudi Arabia into global assets

The [IMF projections](#) suggest otherwise. While Saudi Arabia alone is expected to remain closer to the current account deficit, the wider GCC still looks highly relevant as a source of external savings. Excluding Saudi Arabia, the GCC – mainly the UAE, Qatar and Kuwait – is projected to run a combined current account surplus of roughly \$150bn per year over the next five years even under an oil price assumption of \$70-80 per barrel. That implies a cumulative surplus of around \$0.8tr through 2030 that will need to be allocated by the GCC ex. Saudi Arabia into global assets.

Excluding Saudi Arabia, the GCC will have \$0.8tr of current account surplus to allocate through 2030



Source: IMF, ING; * Russia doesn't match the export concentration criteria for IMF's EM Fuel Exporters aggregate

Current account balance for GCC and other EM fuel exporters*

...putting the sovereign funds' asset allocation in focus

Persistent current account surpluses suggest that the region is likely to remain important not only for trade invoicing, but also for the currency mix of global financial assets. In the GCC,

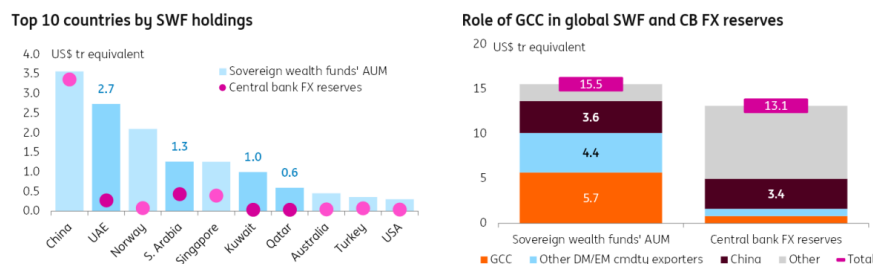
sovereign wealth funds are the key players. We have touched on this previously; in oil-producing economies, [sovereign funds](#) are often the dominant investors and can dwarf central bank reserve holdings.

Originally established to preserve and grow finite hydrocarbon wealth for future generations, Gulf sovereign wealth funds now hold combined assets under management of around \$6tr, which is over one third of the value of the [world's 100 largest sovereign funds](#).

Gulf sovereign wealth funds now hold combined assets under management of around \$6tr

Four of the six GCC countries are among the world's top 10 sovereign wealth fund holders, and the UAE hosts the largest combined SWF assets in the region with a combined value estimated at \$2.7tr. The GCC asset allocation choices matter for the future of the petrodollar no less than the currency of trade invoicing does.

The Gulf holds more than a third of world's sovereign wealth assets



Source: GlobalSWF, IMF, SWF Institute, media, national sources, ING

GCC is USD-heavy by global standards

So how dollarised is the GCC, and how much could that change? That is the trillion-dollar question, and the direct data is almost as scarce as it is for trade invoicing and settlement.

The GCC's influence is not especially visible in the IMF's [Currency Composition of Official Foreign Exchange Reserves \(COFER\)](#) data because the region's central bank reserves are relatively small compared with sovereign wealth funds, while sovereign funds are generally far less transparent than central banks about asset allocation. [US data on foreign holdings of Treasuries or broader US assets](#) is also of limited help, because they are heavily distorted by Europe's custodial role through financial centres such as the UK, the Benelux countries and Switzerland.

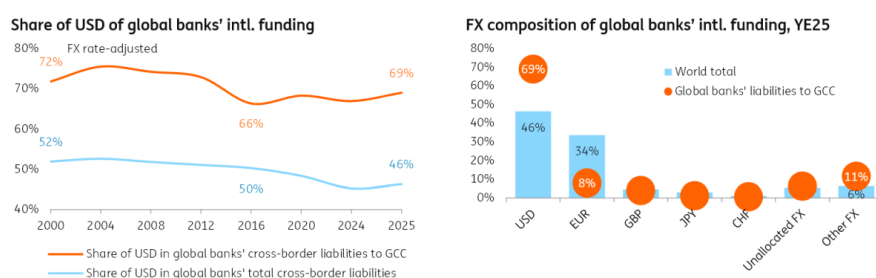
We therefore use an indirect proxy: the banking system's international balance sheet. BIS

locational banking statistics provide a [currency breakdown of global banks' liabilities to financial and non-financial sectors](#) in each reporting country. While this does not capture sovereign wealth funds directly, it still offers a useful window into the broader currency mix of external finance. By that metric, Gulf external finance remains much more dollar-heavy than the global norm. At the end of 2025, around \$0.6tr – or 69% of international assets linked to GCC financial and non-financial sectors – was denominated in US dollars, compared with a global aggregate of 46%.

Around 69% of international assets linked to GCC are denominated in US dollars, compared with a global aggregate of 46%

The GCC also appears underweight the euro, at roughly 8% versus a 34% global aggregate, while showing a somewhat higher preference for non-core currencies. Notably, the dollar share in the GCC's cross-border assets appears to have risen over the past decade, in contrast to the broader global trend.

GCC's external finance is highly dollarised by global standards

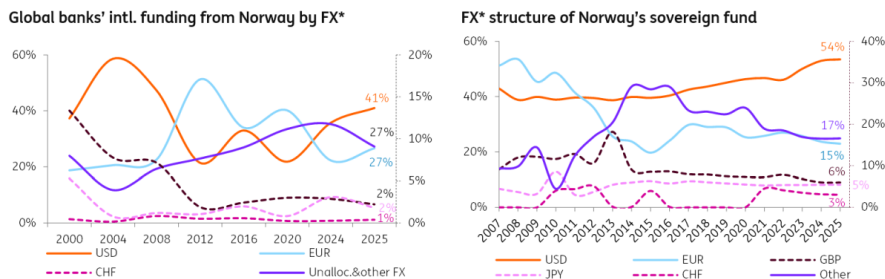


Source: BIS, Refinitiv, ING; * Pre-2025 shares recalculated according to FX rates as of YE25

It remains an open question as to how well BIS locational banking statistics proxy the currency composition of sovereign wealth funds, most of which are deliberately structured outside the domestic banking perimeter. Even so, there are reasons to take the signal seriously.

First, the dollar pegs in GCC countries naturally reinforce the dollar's role in both trade and capital flows. Second, Norway offers a useful cross-check because it publishes the currency composition of its sovereign wealth fund. There, BIS cross-border banking data does not replicate the sovereign fund allocations exactly, but it does capture the broad ranking of currencies relatively well; the US dollar is clearly dominant, followed by a group of non-core currencies and then the euro. That suggests the Gulf's above-average dollarisation in cross-border balance sheets is unlikely to be meaningless.

For Norway, BIS banking data is a good proxy for SWF FX structure



Source: BIS, NBIM GFPG, Refinitiv, ING; * Pre-2025 shares recalculated according to FX rates as of YE25

If the BIS GCC banking data broadly reflects sovereign wealth-fund preferences, this would imply that a very large stock of the Gulf's sovereign wealth is likely to be already allocated in dollar assets – at least \$4tr – alongside much smaller allocations to non-core currencies (\$0.6tr) and the euro (\$0.5tr).

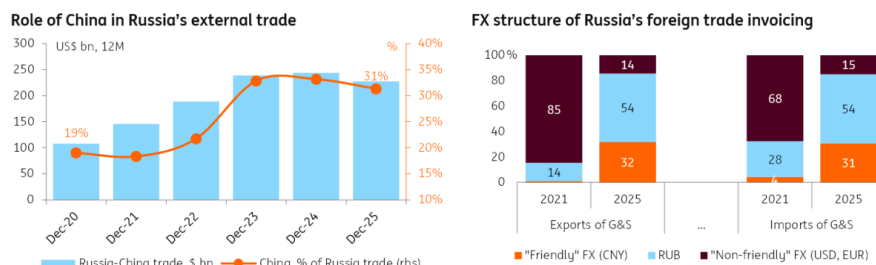
A very large stock of the Gulf's sovereign wealth – at least \$4tr – is likely to be currently allocated in dollar assets

What might Gulf de-dollarisation look like?

The next question is what the practical limits of Gulf de-dollarisation would be if the region were hypothetically to pursue it. This could be considered a stress test (not a forecast!) designed to illustrate the scale of any plausible change and the surrounding constraints.

Russia provides one extreme reference point. Since 2014, Russia's external trade and reserve mix has experienced a foreign policy-driven shift towards China and renminbi, and this process has accelerated rapidly since 2022 under the pressure of sanctions and reserve freezes. By 2025, the renminbi's share in Russia's external trade invoicing had risen to match China's 30-33% share in Russia's trade. In Russia's liquid sovereign savings, the renminbi also gained a dominant role because other reserve currency options had effectively been removed.

The yuanisation of Russia's foreign trade matches China's share in its exports and imports



Source: China customs, Bank of Russia, ING

The Gulf, however, is self-evidently not Russia. The geopolitical setting and scale are entirely different. A simple translation of Russia's experience into the GCC would therefore be misleading. At most, Russia offers a far-end reference for how far trade settlement can move when constraints are extreme, which, in the case of the GCC, would also match China's role in the region's external trade – currently around 20%. In an extreme case, up to \$300bn out of \$1.5tr in GCC's annual exports and imports turnover could be invoiced in RMB.

In an extreme case, up to \$300bn out of \$1.5tr in the GCC's annual exports and imports turnover could be invoiced in RMB

On the asset side, the constraints are even stronger. Existing GCC sovereign wealth fund assets are too large to be reallocated quickly. In practice, if de-dollarisation occurred at all, it would most likely show up through new allocations rather than through a large-scale restructuring of the existing stock.

With projected annual current account surpluses of roughly \$150bn, even a hypothetical reduction in new USD allocations below 70% of that sum, or \$100bn per year, would already represent a move toward de-dollarisation.

But that would still be very different from a rapid retreat from the dollar as the dominant store of Gulf wealth.

All of our discussion so far has centred on potential opportunities for the renminbi. Yet in [our previous research](#), we have been drawn to a multipolar currency world of dollars, euros, renminbi, and other non-core currencies. The prospect of GCC exporters notably shifting energy invoicing to euros looks limited, however. The euro area only comprises 11% of total GCC exports and imports, and there seems to be little appetite from Europe to challenge the role of the dollar in the oil sector. Europe has had some success with benchmark euro exchanges for gas and carbon. But oil is another market entirely.

Euro-denominated debt financing jumped 30% last year to a record \$1.1tr, led by international debt issuance

That said, Europe can and will focus on creating an attractive environment for international investors. While progress on Europe's Savings and Investment Union has been slow, the euro-area bond market did enjoy an encouraging year in 2026. Euro-denominated debt financing jumped 30% last year to a record \$1.1tr, led by international debt issuance.

While the commercial benefits of Reverse Yankee issuance certainly played a role, Debt Capital Market teams certainly noted more international interest in euro-denominated debt.

Stablecoins are another payment means in focus. Evidence of their use in energy invoicing remains highly speculative at this early stage. But most conclude that any uptake in this space would only cement dollar-centricity, since most stablecoins are backed by USD assets. For example, Tether is now the 17th largest holder of Treasury securities globally.

GCC in the global context: central but not exclusive

The Gulf is central to the petrodollar debate, but it is still only part of the global energy story. Even if invoicing patterns were to shift more visibly within the GCC, the global impact would still depend on how large the Gulf remains in production, exports and surplus generation relative to the rest of the energy world.

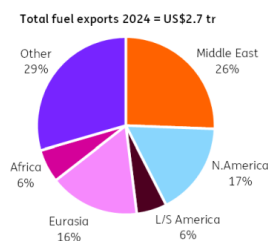
The Middle East accounts for around one-quarter of global fuel exports

The broader global energy system still includes large producers and exporters outside the Gulf, while the post-2022 energy shock has also increased the strategic role of the US as both an oil and LNG supplier. The entire Middle East now accounts for around one-quarter of global fuel exports.

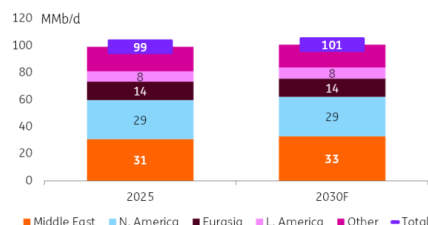
In that sense, the global energy map may have become more fragmented, but not necessarily less dollar-centred. According to the IEA's five-year projections, the more dollar-centric fuel production in the Americas is expected to retain its competitive global shares, especially in the oil segment, where North and Latin Americas combined are expected to retain c.38% combined share vs. 33% attributable to the Middle East.

Middle East accounts for around a quarter of global fuel exports, Americas will remain a strong competitor

Global fuel* exports by region



Oil production by region



Source: OEC, IEA, ING; * includes oil (48%), refined products (18%) and gas (18%)

That is why any credible petrocurrency argument needs to consider two things at once: first, whether the Gulf's own trade and savings become less dollar-based over time; and second, whether that shift is large enough to move the global aggregate in a material way.

Broader de-dollarisation: still slow

The petrocurrency debate is a valid part of the de-dollarisation story, with a potential focus on the UAE, which, following its [accession to BRICS+](#) and breakaway from OPEC, is targeting a material increase in global fuel supply. However, the evidence so far argues against rapid de-dollarisation in the global financial system. First, it's important to keep in mind that global fuel trade represents only around 10-12% of the global merchandise exports.

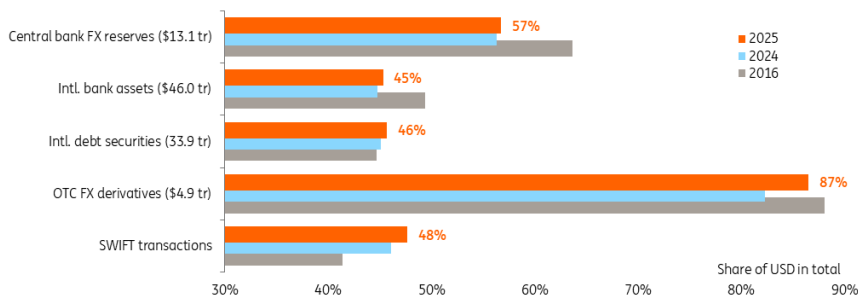
Global fuel trade represents only around 10-12% of the global merchandise exports

Second, the IMF finds that the [dollar remains dominant in global trade invoicing](#) and that there is no robust evidence of a broad move away from the dollar in oil exports. The ECB likewise shows that the [dollar and euro still account for more than 80% of global invoicing](#), while the renminbi remains small at the aggregate level.

This is important context for any potential shift in Gulf invoicing patterns. Even if some energy transactions become somewhat less exclusively dollar-based, that would not automatically translate into a comparable change in the global role of the dollar. The dollar's position is anchored in the international assets and liabilities of central banks and the private sector, as well as broader turnover of trade and financial flows.

The broader dollarisation metrics we track suggest that meaningful long-run diversification has been visible mainly on the asset side, and even their progress appears to have stalled in 2025. The lack of a large debt securities market outside USD and EUR segments is one of the obstacles for broader diversification.

Global de-dollarisation stalled in 2025, long-term trend seen on the asset side



Source: IMF, BIS, SWIFT, Refinitiv, ING; * pre-2025 shares recalculated according to FX rates as of YE25

Key indicators of USD's global role

This does not, however, mean that nothing is changing. More euro and renminbi settlement in parts of energy trade is plausible, and so is a world in which some Gulf savings are allocated somewhat less mechanically into dollar assets than in the past.

Market implications

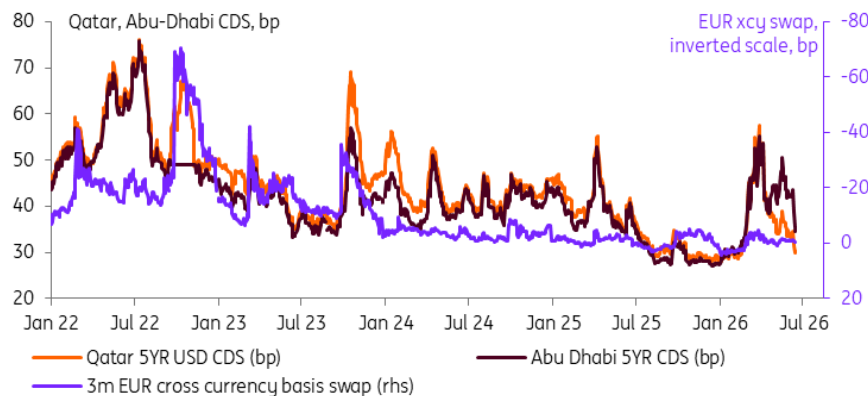
The network effects of having the dominant currency in international finance and invoicing are well publicised for the dollar. And a recent [ECB paper](#) calculated that of the 190bp 'convenience yield' earned by foreign investors in holding US Treasuries, 170bp was down to the attraction of the dollar. Clearly, GCC exporters continuing to earn and invest in dollars looks to be an important driver of the lower borrowing costs enjoyed by the US government.

Separately, during the crisis, we wondered whether developments in the Middle East were enough to impact global dollar funding conditions. For example, were GCC nations large enough international lenders of dollars – be that through wholesale funding or commercial paper markets – to see dollar borrowing conditions tighten?

In FX markets, stress in dollar liquidity normally emerges in the cross-currency basis swap market, where European lenders would be prepared to lend out euros through the swap market at below market rates ('the basis') in order to secure dollar funding.

Fortunately, events showed that during the peak of stress in March, the basis swap hardly budged at all, reflecting the resilience of dollar funding markets to a localised shock.

Dollar funding versus regional CDS



Source: Refinitiv, ING

The petrodollar story could be changing, but slowly. Recent tensions in the Middle East have revived interest in whether energy exporters and importers want more room to settle transactions outside the dollar, and some marginal diversification in that direction is plausible. China's rising role in Gulf trade and the gradual development of alternative payment infrastructure support that trend.

But this should not be confused with the rapid erosion of dollar dominance. The bigger issue is not only how energy is invoiced, but how surplus oil savings are stored. On that front, change also looks slow. The Gulf still generates large external surpluses, sovereign wealth funds remain central to recycling them, and the available balance-sheet evidence suggests that the region's external finance remains more dollar-heavy than the global average.

Our conclusion is that the euro and non-core FX, including the RMB, can create some competition for the dollar, both in settlement and in new allocations. But we do not see convincing evidence that de-dollarisation can be fast and easy. Based on broader global trends, the process looks gradual and faces structural constraints, leaving the dollar firmly at the centre of the global energy-finance system.

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Article | 17 June 2026

FX RATES UNITED STATES

Hawkish shift opens the door to Fed rate hikes

A clear hawkish shift from the Fed sees the committee split down the middle on whether they will hike rates or not this year. Sharp energy price falls are good news though, and we think an extended pause is the most likely outcome



The Federal Reserve left interest rates unchanged in Kevin Warsh's first meeting as Fed Chair

Markets acknowledge the prospect of higher policy rates

The Federal Reserve has left monetary policy unchanged at Kevin Warsh's first meeting as Chair. It was a unanimous decision given that arch-dove Stephen Miran had made way for Warsh to join the Board of Governors, while the clear adjustment to the tone of the much cut-down press release was sufficient to bring the three hawkish dissenters from May onside. In a message to leave no doubt in investors' minds over the inflation fighting credibility of the central bank, the statement concluded: "the Committee will deliver price stability".

The even more obvious hawkish shift was seen in updated Fed forecasts. The new "dot plot", has 9 of 18 members pencilling in a rate hike versus zero in March, which shows the Fed has gone well beyond signalling "two-way risk" on interest rates, to a clearly more hawkish position.

One member is, in fact, predicting three 25bp hikes over the coming six months; five members

are going for two hikes and three are going for one hike. Eight expect no change with just one forecasting a rate cut this year. There are only 18 dots versus the usual 19. As broadly expected, Kevin Warsh decided not to enter a prediction having said in the past that the Fed's record was "abysmal" and that he saw little value in it. He added at the press conference, "I can't give you any guidance on what we're going to do next."

As such, the median is now for one hike this year, but then a cut next year with a further cut in 2028 before settling at a 3.0-3.25% range over the longer term.

Fed projections versus the previous expectations from March

	2026	2027	2028	Longer run
Change in real GDP (4Q YoY%)	2.2	2.3	2.2	2.0
Previous Fed projection (Mar)	2.4	2.3	2.1	2.0
Unemployment rate (% year end)	4.3	4.3	4.2	4.2
Previous Fed projection (Mar)	4.4	4.3	4.2	4.2
Core PCE inflation (4Q YoY%)	3.3	2.5	2.1	-
Previous Fed projection (Mar)	2.7	2.2	2.0	-
Federal funds rate (year end)	3.8	3.6	3.4	3.1
Previous Fed projection (Mar)	3.4	3.1	3.1	3.1

Source: Federal Reserve, ING

The table above shows the Federal Reserve's updated median forecasts versus what they were saying in March. They are a little more upbeat on GDP growth for fourth quarter 2026 than the consensus (2.2% versus 2%), but more worried about inflation than the consensus (core PCE deflator at 3.3% versus the 3.1% consensus).

Kevin Warsh, appointed by a President demanding rate cuts, may well face some criticism after this. Nonetheless, his emphasis on needing to prevent second-round price effects will help to keep the long end of the yield curve anchored. This is, in fact, more important for the President's growth strategy by keeping a lid on mortgage and corporate borrowing costs while also limiting the upside for government interest costs.

An extended pause from the Fed remains our call

Markets are now pricing 32bp of rate hikes this year, with a cumulative 42bp by this time next year, versus 19bp and 33bp respectively ahead of the release. Nonetheless, we look for an extended pause of perhaps 12 months.

With a deal set to be signed imminently to reopen the Strait of Hormuz, energy prices have fallen sharply. \$76/bbl WTI oil is consistent with gasoline prices falling to \$3.75/gallon after having peaked at \$4.60. That should help lead to an outright month-on-month % drop in headline prices for June. It will also relieve pressure on airline fares and freight rates within the inflation data, while also easing the squeeze on household spending power.

While recent jobs numbers have been firmer, consumer confidence is rock bottom in an environment where real household disposable incomes are languishing. Consumer and market inflation expectations remain in tolerable ranges and slowing housing rents, weak wage growth and a waning influence from tariffs should, we believe, gradually ease the concerns of the Fed.

The Treasury curve shifts higher and flatter, but the curve structure remains benign

Impact reaction to the FOMC outcome was a flatter curve, led by the front end. That bit is straightforward, given the change in tone from the FOMC as a whole, and the upshift in the median dots. The 10yr yield is up, back to the 4.45% area, and rising. What's interesting is the breakout of this, as the breakeven inflation rate fell, while the real rate rose. The aggregate rise in the 10yr yield came from a bigger pop in the real yield versus the fall in breakeven inflation.

This has been a key theme in the past few months – ongoing upside to real rates, alongside falls in inflation expectations. In fact, breakeven inflation is on aggregate quite tame. Printed inflation is in the 4% area, while the 10yr breakeven is just under 2.3%. And in fact, breakevens remain tame right along the curve. Our bottom line view from all of this is that long-dated yields are liable to remain sticky to the upside (breakevens are already tame and real yields are on the rise, or at the very least holding steady).

The hawkish tilt is classically not good for the front end, and theoretically, it can be a calming influence for the back end, on a theory that the Fed is showing some preparedness to take action, if needed, to help tame inflation. The overall outcome of a flatter curve based on this is straightforward. We still worry that the 10yr yield can drift higher from here, to the 4.5% area and above. That said, the 5yr area has richened further slightly, showing the market is not fully bought in on rate hikes being a dominant theme in the coming quarters.

Beyond that, we had expected something on balance sheet management, but little to nothing on this. The bill-buying programme continues, and the ample reserves environment is sustained. It seems that the balance sheet reduction project is all being left to another day.

Dollar enjoys commitment to price stability

After this week's large fall in energy prices, FX markets probably went into today's FOMC meeting with a neutral bias. In the end, the outcome was clearly hawkish with a slimmed-down statement refocusing on price stability, a rate hike in the dot plot and a few references to the Fed having missed its inflation target for five years running.

The dollar took its cue from the 10bp bearish flattening in the US yield curve and rallied around 0.5% on the news that the Fed is prepped to tighten. Also welcome for the dollar is the read-out for US asset markets, where stability at the long end of the bond market and equities

reversing intra-day losses suggest buy-side investors appreciate the renewed commitment to price stability.

That commitment also serves to deflate interest in the dollar de-basement trade, which last year had seen gold, bitcoin and the likes of the Swiss franc rallying on the view that a captured Fed could go soft on inflation. That looks far less likely after today's FOMC meeting. Gold is off 2.5% on the news and USD/CHF up around 0.7%. These trends can extend.

A hawkish Fed can keep EUR/USD pressing 1.1500 this summer, with the risk of a temporary break lower should any US activity or price data briefly push market expectations towards 50bp of tightening this year. Japanese authorities must now be bracing for higher levels in USD/JPY – perhaps into the 162/163 area – before another round of intervention is due. But the already slim chance of effective dollar selling intervention just got slimmer.

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Article | 22 June 2026

COMMODITIES, FOOD & AGRI

Aluminium deficit persists despite easing Middle East tensions

Geopolitical tensions have eased, reducing upside risks for aluminium prices, but market balances remain tight and the deficit persists



We continue to see supportive fundamentals for aluminium

De-escalation eases risks, not fundamentals

The signing of a preliminary Memorandum of Understanding (MoU) between the US and Iran last week, alongside the extension of the ceasefire, has eased concerns over further disruptions to aluminium supply and key shipping routes in the Middle East. However, while the agreement lowers the risk of additional supply losses, it does not materially change our outlook for the aluminium market.

We continue to expect the global aluminium market to remain in deficit this year. Supply disruptions linked to the conflict have already removed an estimated 3 million tonnes of production from the market. As a result, we continue to forecast a global aluminium deficit of 1.8 million tonnes this year. While the geopolitical backdrop has improved, the supply losses underpinning this outlook remain in place.

The Middle East accounts for approximately 9% of global primary aluminium production and remains a key supplier to international markets. Earlier concerns centred not only on potential production losses but also on the risk of disruptions to shipping through the Strait of Hormuz, a

critical route for both metals and energy flows. The ceasefire extension has eased these concerns and reduced the likelihood of a broader regional escalation.

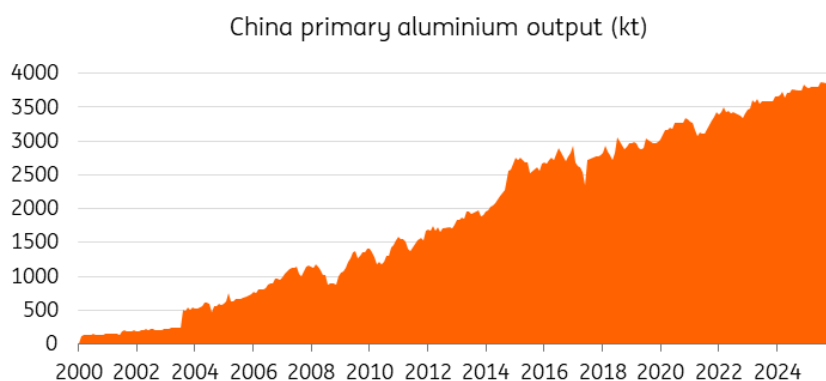
Lost supply won't return overnight

However, aluminium supply cannot be restored overnight. Smelters are designed to operate continuously, and restarting idled capacity can take months and require significant investment. This means that even if geopolitical conditions continue to improve, supply recovery is likely to be gradual. The ceasefire reduces the risk of further disruptions, but it does not immediately restore lost production.

China steps in, but can't fill the gap

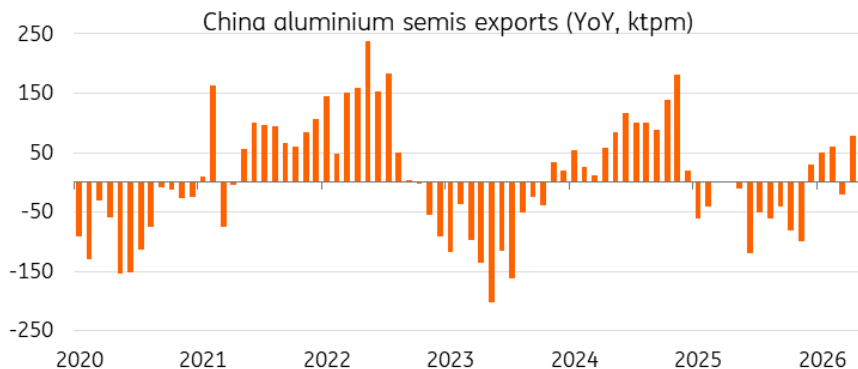
Higher Chinese exports have provided some relief to the market. Export volumes rose 15% year-on-year in April to 598kt and increased a further 16% year-on-year in May to 630kt, with the China Nonferrous Metals Industry Association (CNIA) suggesting that full-year aluminium product exports could reach a record high in 2026.

China's output hits record high



Source: NBS, ING Research

And exports surge



Source: China Customs, ING Research

The increase in exports has been driven by a widening premium between international and Chinese aluminium prices following supply disruptions linked to the Middle East conflict. Higher prices outside China have encouraged producers to maximise exports, while weaker domestic demand and elevated inventories have also supported additional overseas shipments.

China has also increased alumina exports, with May shipments rising 36.4% year-on-year to 280kt. The increase in alumina availability has helped alleviate some concerns over raw material supply and provided additional support to global aluminium supply chains.

China's ability to further increase supply also appears limited. Annualised production is already running at around 46.7 million tonnes, above the government's 45 million tonnes capacity cap. While higher export volumes have helped alleviate some of the tightness in global markets, there appears to be limited scope for a significant increase in Chinese output, leaving the global market dependent on a gradual recovery in disrupted supply elsewhere.

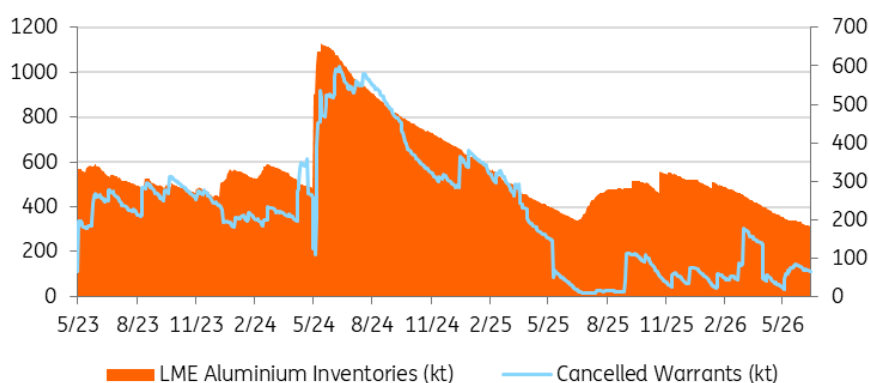
Additional supply growth from Indonesia is also unlikely to materially alter market balances in the near term. While new projects are expected to increase capacity, the estimated incremental supply additions of around 0.5-0.8 million tonnes this year, subject to downside risk from power and permitting constraints, are well below the estimated 3 million tonnes of production lost as a result of the Middle East conflict. As a result, the market is likely to remain in deficit despite rising output from Indonesia.

Aluminium remains supported

For prices, the ceasefire is likely to have a greater impact on risk sentiment than on fundamentals. During the height of the conflict, aluminium prices incorporated a geopolitical premium reflecting the possibility of further supply disruptions and shipping bottlenecks. With the ceasefire now extended and the US-Iran MoU providing a framework for further negotiations, part of this premium is likely to unwind.

However, we believe downside risks for aluminium prices remain limited. The market continues to face a supply deficit of 1.8 million tonnes, while inventories continue to signal tight physical market conditions. LME aluminium stocks have fallen to around 314kt, down almost 40% from the start of the year despite stronger Chinese exports and the easing in geopolitical tensions.

LME inventories continue to draw



Source: LME, ING Research

The improvement in the geopolitical backdrop reduces the risk of further supply disruptions, but it does not immediately restore lost production. Chinese exports have not been sufficient to rebalance the market. As a result, we continue to see supportive fundamentals for aluminium despite the recent de-escalation. We maintain our aluminium price forecasts of \$3,500/t in 3Q and \$3,400/t in 4Q.

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Article | 22 June 2026

POLAND

Polish activity data slows further in 2Q but 3.4% growth still achievable for 2026

May retail sales and construction output disappointed, and GDP growth in the second quarter is set to fall below the 3.5% YoY rate seen in the first quarter. Despite softer consumption, strong investment should keep 2026 GDP growth at 3.4%. Wages show no second-round energy effects, allowing the central bank to keep rates on hold in the coming quarters



Poland's retail sales growth rebounded in May but the result still disappointed relative to expectations

Consumer strength moderated further in 2Q26

The prolonged conflict in the Middle East most likely weighed on consumer spending patterns in 2Q26. In May, retail sales growth rebounded to 3.0% year-on-year from 1.3% YoY in April, as part of Easter spending had already taken place in March, but the result still disappointed relative to expectations. Although fuel price growth was contained by government measures (lower excise duty, VAT reduction and price caps), demand for petrol and diesel in May was not as robust as in the previous months. Consumers appear less concerned about potential supply shortages and more sensitive to the prevailing level of fuel prices. Food purchases declined for a second consecutive month, while annual growth in durable goods purchases was weaker

than at the beginning of the year. Consumer confidence began to improve after bottoming out in April, and private consumption should remain a solid pillar of economic growth this year, albeit likely to a lesser extent than in 2025.

Construction output rebounding, but infrastructure activity disappointed

Following sharp declines in 1Q26 due to harsh weather conditions, the recovery in construction output continued in May, with production increasing by 3.9% YoY after 4.5% YoY in April. However, there were some signs of weakness, particularly in civil engineering, which fell by 1.8% YoY. We expect activity in this segment to pick up going forward, as the time window for executing projects financed under the Recovery and Resilience Facility (RRF) narrows. We anticipate that stronger fixed investment over the remainder of the year will offset the slowdown in consumption growth.

Overall, real economy data for May suggests that GDP growth slowed further in 2Q26 from 3.5% YoY in 1Q26 but remains on track to reach 3.4% in 2026 as a whole.

No signs of second-round effects in the labour market

In May, wages in the enterprise sector rose by 5.8% YoY, surprising slightly to the downside, while employment continued to decline (down 0.9% YoY). There is no evidence of wage pressure or second-round effects from the current energy shock, which alleviates pressure on services prices and core inflation. The labour market continues to adjust following several years of double-digit wage growth. Firms are adapting to higher labour costs, and wage demands are being contained amid anchored inflation expectations.

National Bank of Poland set to keep rates on hold

A less tight labour market, somewhat slower economic growth, and an inflation outlook showing limited pass-through from the energy shock provide the central bank with sufficient comfort to maintain a wait-and-see stance. CPI inflation may return to the NBP's target as early as 2Q27, as the impact of elevated oil prices is expected to remain contained and unlikely to spread broadly across the consumer basket. We continue to expect policymakers to keep rates on hold, with the next move likely to be a cut, although its timing appears some way off.

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Article | 22 June 2026

FX

FX Daily: Lack of GBP political premium cuts both ways

Sterling shows little sign of stress despite the prospect of an imminent change in prime minister. This points to stronger market trust in Burnham, but also leaves the currency more exposed if fiscal concerns resurface. Elsewhere, Fedspeak and Strait of Hormuz news should drive most FX moves this week. Risks remain slightly skewed to the upside for USD



Anticipation of a big political shake-up is building in the UK, though the pound still appears calm

➔ USD: Eyes on Fedspeak and Hormuz

We expect the two main drivers for the dollar this week to be Fedspeak and news on whether Strait of Hormuz flows have continued.

The former will shed some light on how serious FOMC members are about the prospect of one or more rate hikes after a hawkish meeting last week. We'll be particularly curious to hear whether the half of the FOMC that didn't forecast a hike this year has an interest in pushing back against the 43bp of tightening priced in by December. In this quieter period of the month for data releases, Fedspeak should be the main trigger for any adjustments in front-end USD rates, which have been the single most important driver of USD of late. The main data points

this week are May personal spending, expected to be robust, and core PCE, which we expect at 0.3% month-on-month – both due on Thursday.

On geopolitics and commodities, markets are holding on to optimism following signs of progress towards a final deal. In recent days, US President Donald Trump has again threatened to strike Iran amid renewed Israel-Hezbollah clashes. Iran claimed it had shut the Strait of Hormuz in response, but shipping data and military sources suggest oil flows have continued.

For now, our dollar call remains unchanged. Near-term risks remain skewed to the upside, but we do not see last week as the start of a new strong dollar cycle. Markets may try to use the next data or Fedspeak catalyst to price in 50bp of Fed tightening in 2026, but unless there is a fresh Middle East escalation, lower oil prices should contain USD gains. The DXY rally may fall short of the May 2025 102.0 high.

Francesco Pesole

➔ **EUR: 1.140 can be tested soon**

In line with our USD view above, we see a decent risk that EUR/USD will have to test 1.140 on the back of a long tail of post-Fed USD momentum before re-entering any upward pattern. At the same time, positive headlines from the US-Iran negotiations suggest the depth of the next leg lower should be more limited; the commodity terms of trade for the eurozone have recovered more than half of the initial war-related drop.

On the data side, we'll see eurozone confidence data and PMIs today and tomorrow. Still, the surveys may not yet reflect the interim peace deal and could still signal a less optimistic mood. We don't expect those to be a key driver of EUR/USD, which remains very heavily dominated by the USD leg.

Francesco Pesole

➔ **GBP: Sterling seemingly fine with potential change in PM**

Multiple media reports (and a post by President Trump) have indicated UK Prime Minister Keir Starmer is set to lay out his exit plan this week – quite possibly today. That follows a number of calls by cabinet members asking for his resignation. There appears to be little doubt at this stage that Manchester Mayor Andy Burnham would, in turn, become the new PM.

In May, Burnham's comments about fiscal rules triggered a GBP and gilt selloff. Since then, he has adopted a more market-friendly tone on budget plans, resulting in a very contained market reaction to his winning a parliamentary seat last week, which allows him to become PM. The key test now for markets is the choice of Chancellor. Incumbent Chancellor Rachel Reeves has successfully mitigated market concerns via a strong commitment to the fiscal rule – markets will search for similar reassurances from her successor.

Our short-term fair value model shows no overvaluation in EUR/GBP, suggesting no political risk premium. That is good and bad news for GBP. It signals that markets are relaxed about this government change, but that means a greater downside for the pound should fiscal concerns resurface.

Our view on EUR/GBP is generally bullish, but mostly because we don't expect the Bank of England to hike rates despite 33bp priced in. The past couple of years suggest that political risk premium can emerge in GBP, but tends to be temporary.

Francesco Pesole

➔ CEE: FX is getting moving

The week will open with Polish retail sales, wages and PPI figures for May. The market in Poland has jumped on the wave of dovish comments from several MPCs in the last two weeks and has outpriced almost all rate hikes this year. Friday's industrial production figures for May showed some upside, and the market has returned to expectations of less than one hike. Today's figures could confirm or refute whether rate hikes will be needed in market calculations.

Tomorrow, the National Bank of Hungary is likely to cut rates by 25bp to 6.00%. The central bank wanted to restart the cutting cycle in February (when it last cut rates), but the US-Iran conflict stopped the process. However, the general election in April brought a strengthening of the forint by about 6% versus the euro, and inflation has since surprised on the downside at 1.8% in May, the lowest in the CEE region. The central bank will present a new forecast, which should revise the inflation forecast downwards, and the market's attention will be on communicating how many rate cuts we can expect this year. Our forecast expects 75bp this year with upside risk, but we expect the market to go for more.

The CEE FX market is dominated by a stronger US dollar, similar to the rest of the EM space, following last week's Fed meeting. We have seen some pressure on currencies in the region in recent days. EUR/PLN jumped above 4.260, and for the first time since early April, it has broken out of its usual ranges. For now, the rate differential suggests fair levels in our opinion, but today's data may decide the direction moving forwards. EUR/HUF saw a minor correction upwards after touching 350, and the NBH meeting creates additional upside risk. On the other hand, 355-356 levels could again attract new forint buyers.

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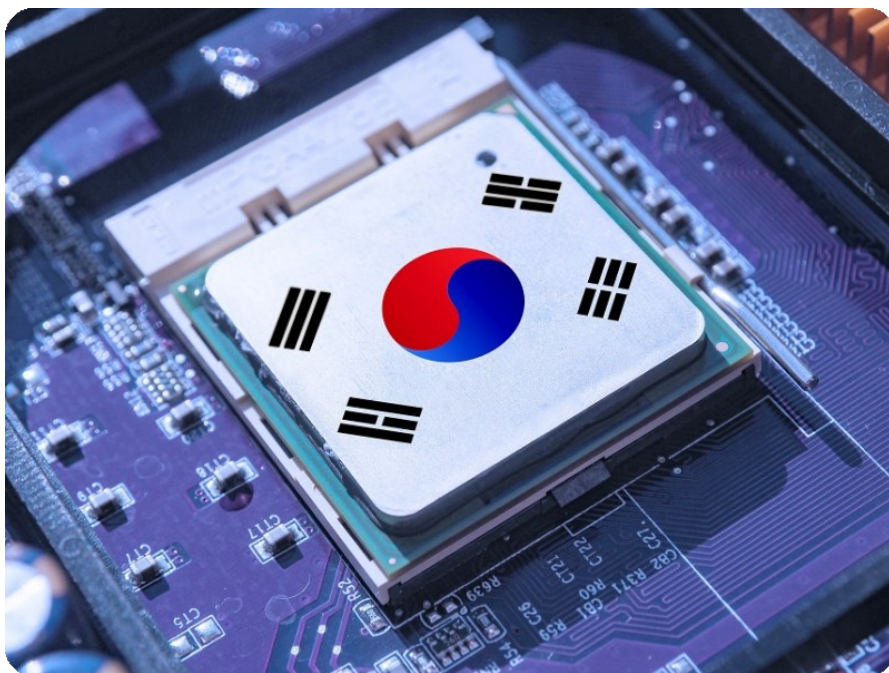
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Article | 22 June 2026

SOUTH KOREA

ING lifts South Korea 2026 GDP growth forecast to 4% from 3%

Under ING's latest energy scenario, supply conditions should improve for South Korea in the second half of 2026. Semiconductor momentum, meanwhile, will remain stronger than previously assumed. This is supporting private consumption and investment, on top of government spending. We've raised our 2026 GDP forecast to 4% from 3%



Source: Shutterstock

Thriving semiconductors drive meaningful recovery in domestic demand

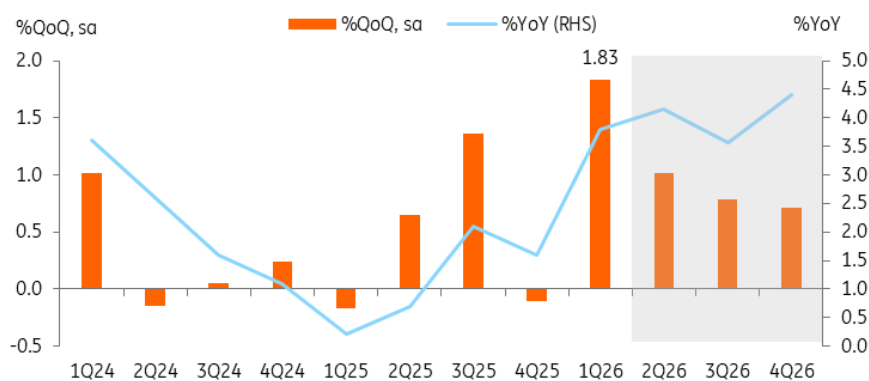
Despite heavy reliance on Middle Eastern energy, South Korea has so far limited the impact on growth and inflation through price caps, subsidies, fiscal support, and diversifying imports from non-Gulf countries. Meanwhile, the global AI boom fuelled remarkable growth in the first quarter.

The semiconductor boom is expected to remain the key driver of growth across the economy. Whilst strong exports will undoubtedly be the most significant, the boom will lay the

foundations for growth in private consumption, government spending and investment. This will happen via channels including a stock market rally, rising labour incomes, higher capex, increasing tax revenue, and a boost in sentiment.

Despite the US-Iran ceasefire, the situation in the Middle East remains fragile and fluid. Recent developments have been broadly consistent with [our base-case energy scenario](#) so far. Even with risk scenarios such as 60-day US-Iran negotiations getting stuck or a re-escalation of tensions, we firmly believe that the AI boom will overshadow energy shocks throughout the year. As such, growth is expected to accelerate to well above 3.0% year-on-year.

GDP is expected to grow 4.0% YoY in 2026



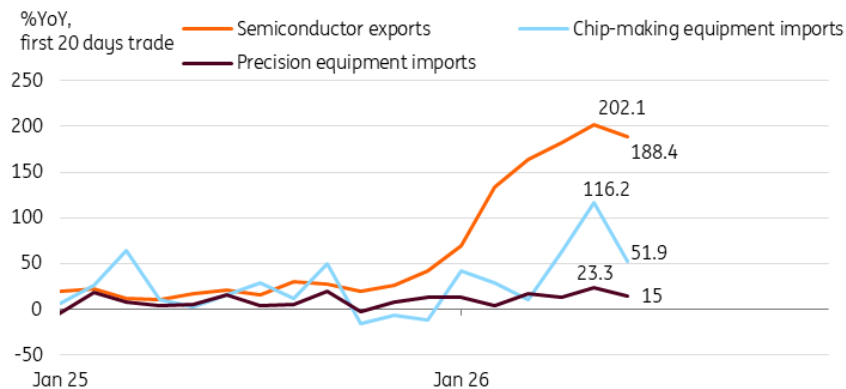
Source: CEIC, ING estimates

Export momentum likely to stay strong beyond 2026

Early June export data showed another strong 60.4% YoY increase, led by a 188.4% surge in semiconductor exports. Working-day-adjusted exports rose 49.7%, signalling that underlying export momentum has firmed up. By destination, exports to China and the US rose by 86.9% and 53.9%, respectively.

While we had expected chip momentum to remain firm throughout the year, the scale of the upside far exceeded our expectations. As we've argued before in [our previous research](#), the semiconductor outlook remains exceptionally strong. Rising demand for high-end chips, structural shortages in legacy chips, limited supply-capacity expansion, and heavy hyperscaler investment should extend and strengthen the chip cycle. More recently, China has stepped up investment in AI. Europe is accelerating efforts to build sovereign AI capabilities and reduce reliance on foreign technology. Thus, we expect AI adoption to broaden globally, extending the current semiconductor supercycle for a considerable period.

Semiconductors are boosting both exports and imports

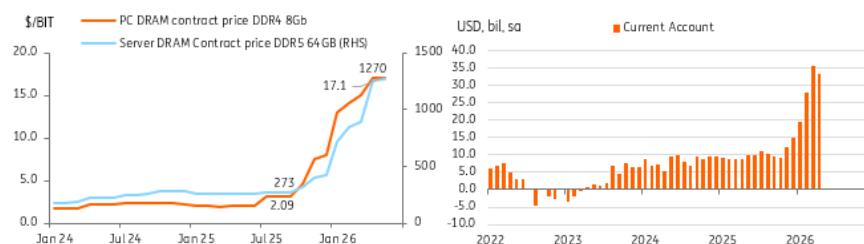


Strong chip pricing supporting record current account surplus in 2026

While DRAM prices have stabilised somewhat over the past two months, they're more than four times higher than a year earlier. With 2026 HBM prices rising by 20-30%, triple-digit chip export growth should continue into early 2027. We expect DRAM prices to soften around 2028 as structural supply conditions improve. In particular, Chinese chipmakers are expected to complete new production lines.

Thanks to strong chip performance, the current account surplus had already reached \$102.6bn by April, compared with \$123.1bn for all of 2025. We expect the current surplus to widen to nearly \$250 billion for 2026.

DRAM price to remain strong while current account surplus to double



K-shaped recovery in investment; positive spillover to facility investment vs soft construction

Korea's K-shaped recovery is most evident in the gap between strong facility investment and weak construction activity.

Strong chip performance is expected to increase chipmakers' capex. Recent ING research noted that Korean chipmakers are expanding semiconductor capacity. Today's trade data also confirmed the sharp rise in semiconductor manufacturing equipment imports. Imports rose 23.2%, led by a 52% increase in semiconductor manufacturing equipment. Business surveys showed a strong recovery after a temporary slide in April, with the recovery most pronounced in manufacturing. We believe the optimistic view on global AI expansion has offset the geopolitical risks so far.

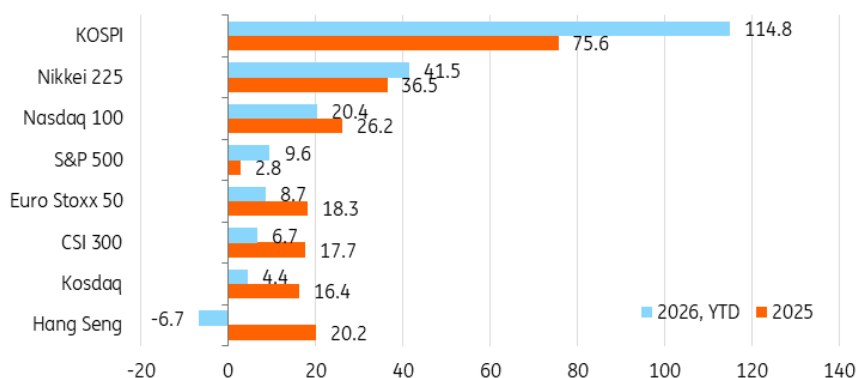
Meanwhile, construction growth is seen remaining sluggish. A modest recovery is expected as the business cycle slowly turns around after the five-year downturn. However, disruptions in the Middle East led to shortages of key construction materials and higher material costs. Given its relatively high sensitivity to interest rates, higher borrowing costs should weigh on the construction sector.

Consumption positive, but income inequality seen widening

Strong chip performance has been the main driver of the remarkable KOSPI rally, with the two major chipmakers accounting for more than half of the total market capitalisation. Beyond the significant equity gains, both companies – SK Hynix and Samsung -- have also pledged sizeable employee bonuses and dividend payments to shareholders. Whilst the direct beneficiaries of these measures are likely to be quite limited, they are expected to have a positive impact on consumer spending, albeit a modest one. Also, for the second quarter in particular, the government's fiscal measures to mitigate the energy shocks are expected to contain any sudden drop in private consumption.

Market reports showed that the number of stock accounts holding more than KRW 1bn in financial assets more than doubled in 2026, rising to 162k from 65k in 2025. Anecdotal evidence points to private pension gains of at least 40% over the past 12 months. These all indicate equity market rallies leading to broader positive wealth effects among households holding financial assets. But we still see widening income inequality as stock ownership is usually concentrated in higher-income and higher-wealth households. In addition, given high household debt, the translation of a positive wealth effect into consumption may be modest.

Positive wealth effects are expected to support consumption

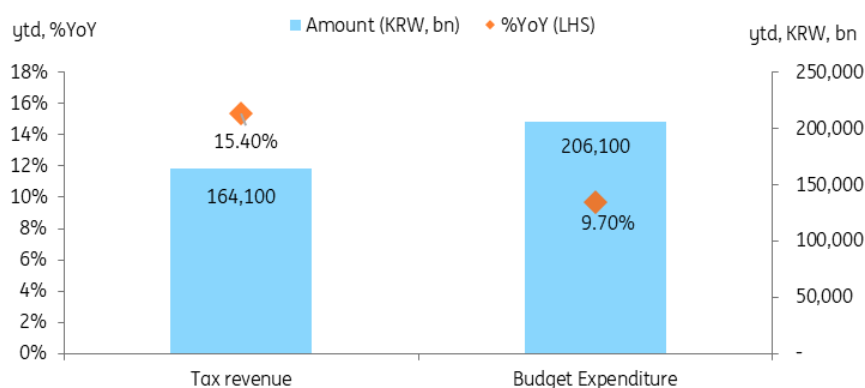


Source: CEIC

Fiscal outlook improves on stronger tax revenue

Strong semiconductor performance has led to increased tax revenue from corporate, equity transactions, and income taxes. Government fiscal balance data showed a sharper increase in revenue up to April. Cumulative government revenue for January to April 2026 rose by 15.4% YoY year-to-date. This will likely maintain the government's expansionary fiscal stance, with higher spending on social welfare and R&D. Also, we expect some excess tax revenues to be used to consolidate the fiscal account.

Fiscal balance to improve thanks to strong tax revenue



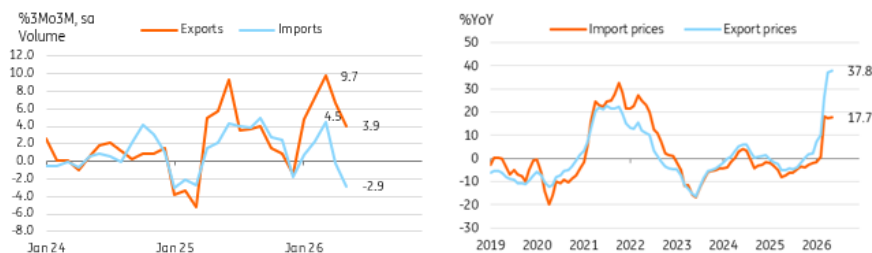
Source: CEIC

Moderating growth expected in 2Q26 amid energy shocks

After a remarkable 1.8% quarter-on-quarter, seasonally-adjusted, expansion in 1Q26, we expect growth to moderate in 2Q26. GDP should still rise at a solid 1.0% QoQ pace. Net exports are likely to contribute positively to overall growth. Monthly data point to slower export

growth, but a sharper contraction in imports, implying a trade surplus. The sharp improvement in terms of trade will eventually play a positive role in the domestic economy. Sentiment dipped only briefly; survey data now show a clear and sustained improvement. With fiscal support, private consumption is expected to expand modestly. We believe that a peace deal would provide a stronger boost to growth, while its impact on prices should remain limited.

Better terms of trade and firm exports are likely to boost GDP throughout 2026



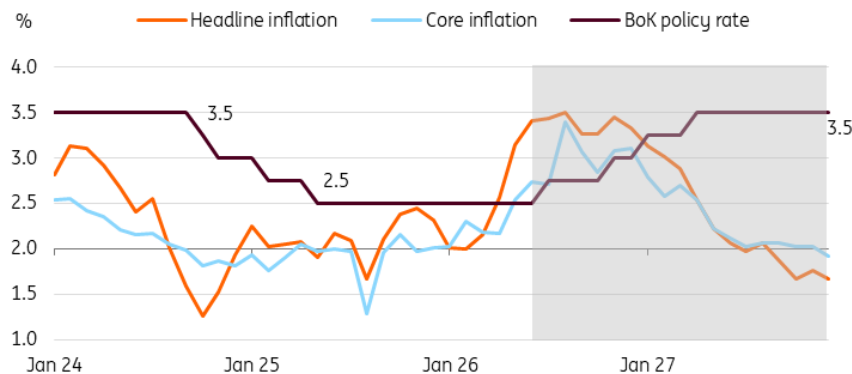
Source: CEIC, ING estimates

Inflation sticky despite sharp commodity price correction

We expect inflation to remain sticky even as energy supply normalises. Korea has relied mainly on fiscal measures, rather than monetary policy, to contain prices. These include fuel price caps, extended fuel-tax cuts, food vouchers, and frozen power bills for 3Q26. The impact of energy shocks was effectively mitigated by several measures, and the inflation spike was relatively mild compared with other major economies.

However, going forward, we expect more sustainable inflationary pressures to build up. Supply shock-driven inflation forces are expected to weaken, but once these temporary anti-inflation measures are lifted, then the second-round effects and demand-driven pressures are likely to dominate the future inflation path. We believe the second-round effects will continue to rise for a while, as energy conditions are normalised very gradually and businesses are likely to pass on earlier cumulative input price hikes to output prices. More importantly, we expect stronger demand-side pressures, such as asset-market rallies, rising labour income, and weak currencies, to add to inflationary pressures in 2H26 and beyond. We expect CPI to rise 3.0% YoY in 2026 (vs previous outlook of 2.8%)

CPI is expected to stay above 3%, supported by firm demand



Source: CEIC

Bank of Korea expected to deliver 100 bp of hikes by 1H27

We now expect the Bank of Korea to deliver more than the previously assumed 75 bp of additional rate hikes, with the terminal rate reaching 3.50% by 1H27. The BoK is likely to focus on demand-driven inflation rather than temporary supply-side price shocks. Stronger growth should lift core inflation once energy-related volatility fades. The BoK has clearly signalled that price stability is now its priority, and markets widely expect a 25 bp hike in July. Our base case for the BoK outlook is a 25 bp hike per quarter. While the BoK could frontload hikes in 2H26, we still see this as unlikely given pressure on rate-sensitive sectors. We therefore expect a gradual path of tightening as a base.

Following a 25 bps upward revision to the base rate forecast, we have also revised our Korean treasury bond (KTB) forecast. We remain of the view that the spread widening typically observed during a shift in monetary policy will narrow again once the market forms a reasonable expectation of the terminal rate. Now we see higher-for-longer rates pushing up 10y KTB yields during the early stage of rate hikes. We believe that the government will increase its redemptions by a slightly larger amount than expected. And that supply pressures aren't likely to be a burden on KTB rates for now. A key swing factor is the Federal Reserve. ING expects two US rate cuts in 2027. If we are right about the Fed outlook, 10Y KTB yields are expected to rise to 4.5% by the end of 2026, then fall to 4.25% by 1H27.

For the USDKRW, we expect it to stay near 1,500 throughout the year. Easing geopolitical tensions is likely to keep the USDKRW trading below 1,550 level, but a larger capital outflow is expected to keep the USDKRW above 1,475 by the end of 2026. Despite the historically high current account surplus expected, the main driver of USDKRW in the near term should remain capital flows and Fed actions. However, in 2027, we expect the BoK's policy rate to be set above the Fed fund rates, then it could probably lead to a more meaningful KRW appreciation.

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Article | 22 June 2026

COMMODITIES DAILY

The Commodities Feed: Oil rises amid shaky start to US-Iran ceasefire

Oil prices are higher this morning as tensions between the US and Iran remain elevated despite a temporary ceasefire



Energy - Speculators build the short in ICE Brent

Oil prices have moved higher this morning as the US-Iran ceasefire gets off to a rocky start. Talks initially scheduled for Friday were delayed until Sunday. And Iran's Islamic Revolutionary Guard Corps (IRGC) said it closed the Strait of Hormuz over the weekend due to Israeli attacks on Lebanon. The effectiveness of this announced closure is another question. The US Central Command says that 17 million barrels had passed the Strait of Hormuz on Saturday. Meanwhile, President Trump threatened further strikes on Iran if Hezbollah in Lebanon continues attacking Israel.

Recent developments show that moving towards a more permanent deal will be challenging, with very real risks of a flare-up in hostilities during the 60-day ceasefire. For energy markets, the key factor is still whether oil and LNG flows from the Persian Gulf continue to recover, despite all the rhetoric.

The latest positioning data show that speculators significantly reduced their net long in ICE Brent over the last reporting week, amid the temporary ceasefire between the US and Iran. Speculators sold 94,763 lots, leaving them with a net long of 114,128 lots, the smallest net long since December 2025. Interestingly, the move was dominated by fresh shorts entering the market. They bought 74,581 lots, leaving the gross short at 231,218 lots, the largest since

December. Clearly, if US-Iran talks don't progress well, there's a very real risk that these shorts will have to run in and cover.

In natural gas markets, ongoing tension between the US and Iran has seen TTF prices rally by more than 3% this morning. As we move deeper into the injection season and closer to the 2026/27 winter, the European gas market will become increasingly sensitive to developments in the Middle East. Particularly given that EU gas storage remains well below normal levels for this stage of the year. Gas storage stands at just over 46% full, vs a 5-year average of 61% full.

Metals – Gold extends losses

Gold fell for a third consecutive session on Friday, posting a third straight weekly decline. The metal lost more than 2% over the week as investors weighed the outlook for US-Iran negotiations and US monetary policy. While geopolitical tensions in the Middle East remain elevated, the resumption of oil and LNG flows through the Strait of Hormuz has eased concerns over energy supply disruptions and reduced fears of a broader inflation shock. At the same time, hawkish comments from Federal Reserve Chair Kevin Warsh reinforced expectations that US interest rates will remain higher for longer. This reduces the appeal of non-yielding assets such as gold.

Gold is likely to remain sensitive to developments in the Middle East and shifts in Fed rate expectations. While geopolitical risks should continue to provide underlying support, a higher-for-longer US rate environment may limit near-term upside.

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